

INDIA'S AI CHALLENGE

► Inference is the use of AI models for practical applications like fraud detection, medical diagnosis, language translation, research, and driverless cars, among others

► Global market intelligence firm IDC says India's AI spending may touch \$6 billion by 2027

► AI is increasingly becoming a "must-have" tool for work, making adoption inevitable as more users and businesses begin to rely on it

► Every ChatGPT query, fraud alert, medical diagnosis, customer support interaction or coding suggestion involves inference. Inference is where the bulk of future AI consumption will occur

► Dependence on foreign intelligence layers raises questions of sovereignty as well

► Experts argue that India's goal should not be to replicate GPT-5 or compete head-on with Silicon Valley. Instead, India's opportunity lies in niche small language models and localisation



AI'S DOLLAR DRAIN

INDIA'S OVERDEPENDENCE ON FOREIGN ARTIFICIAL INTELLIGENCE MODELS RISKS A LARGE FOREX OUTFLOW, ESPECIALLY AS MANY OF THEM ARE CURRENTLY FREE FOR END USERS. CAN LOCAL ALTERNATIVES CATCH UP TO ARREST DOLLAR FLIGHT IN THIS FOUNDATIONAL TECH?

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